Political Polarization and Market Reactions to Auditor-Change Disclosures

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Abstract

We provide the first evidence that political polarization shapes how investors interpret mandatory audit-related disclosures. Auditor-change filings (Form 8-K Item 4.01) require the firm to disclose the circumstances of the separation, but the signal can be ambiguous—investors must assess auditor credibility and infer the nature of the change, judgments that depend on trust in auditors and the PCAOB as regulatory institutions. Because that trust varies with political identity, polarization generates heterogeneous interpretations of the same public filing. In a sample of 678 auditor-change disclosures (2001–2023), firms headquartered in more politically polarized states experience significantly larger abnormal trading volume ($p = 0.010$) and absolute abnormal returns ($p = 0.040$) around the filing. Effects are concentrated in non-dismissal events—where the filing provides less guidance about the cause of the change—and absent for the same firms' earnings announcements ($p = 0.924$, $N = 20{,}800$), confirming that polarization amplifies disagreement specifically when the disclosure requires interpretation. These findings suggest a limit to disclosure-based regulation: when investors differ in their assessments of institutional credibility, the same mandatory disclosure can generate more, not less, disagreement.

1 Introduction

Auditor-change disclosures are among the most consequential mandatory filings in the Form 8-K reporting system. Form 8-K Item 4.01 requires the firm to disclose the reasons for the change and any disagreements with its outgoing auditor. Prior research establishes that these disclosures are informative: abnormal returns around auditor changes reflect assessments of future reporting quality, regulatory relationships, and management credibility (**????**). Yet the magnitude of market reactions varies substantially across otherwise similar events, and the sources of that cross-sectional variation are not completely understood. This paper identifies one systematic and previously undocumented source: the political environment in which investors are embedded. We find that market reactions to the same mandatory audit-related disclosure are larger where the firm's headquarters state is more politically divided, consistent with investors holding more heterogeneous priors about audit credibility and regulatory oversight.

Auditor-change disclosures are well-suited for studying heterogeneous investor interpretation for three reasons. First, they are standardized and public — all investors receive the same filing simultaneously, via the same EDGAR channel — so differences in reactions across firms cannot be attributed to information timing, access, or format differences. Second, the signal is inherently ambiguous: a firm may change auditors for routine reasons (fee negotiation, committee rotation policy), rising audit risk, cost or quality concerns, or disagreement over financial reporting, and the 8-K filing frequently provides incomplete guidance about which explanation applies. Investors must form their own assessments. Third, auditing is an institution-dependent activity: the credibility of the signal depends on investors' trust in auditors, the PCAOB, and the broader regulatory infrastructure that underwrites audit quality. That trust varies systematically with political identity, making the auditor-change setting especially exposed to politically driven differences in interpretation.

Our theoretical framework builds on **?**: investors observe the same public audit signal but form different posteriors depending on their priors about firm quality, auditor credibility,

and the reliability of regulatory oversight. Political polarization amplifies this heterogeneity. Polarized investors diverge not only in their substantive interpretations of an auditor change — whether it signals earnings manipulation risk or routine governance — but also in their assessments of whether auditors and the PCAOB are credible certifiers of financial reporting quality. This divergence is distinct from information asymmetry: polarization does not change what is disclosed, only how investors with different priors process it. Under standard belief-driven trading models (**?**), greater posterior dispersion translates into higher abnormal volume and larger absolute price movements around the disclosure.

We identify this effect using cross-state variation in partisan polarization, measured as one minus the absolute two-party presidential vote margin at the state level, constructed from MIT Election Lab county-level returns and forward-filled to annual frequency. We use presidential rather than congressional returns because presidential elections are the most nationalized arena of U.S. electoral competition — outcomes are driven by broad national partisan forces rather than candidate- or district-specific factors — making them a cleaner proxy for the partisan belief environment (**???**). More polarized states — where the presidential electorate is more evenly divided between the parties — capture political-information environments in which investors may be more likely to hold divergent priors about institutional credibility and the interpretation of regulatory signals. We acknowledge a key limitation of this proxy: institutional investors are geographically dispersed and need not share the political characteristics of the firm's headquarters state. We treat headquarters-state partisan polarization as a noisy reduced-form proxy for the political-information environment surrounding the disclosure, not a precise measure of individual investor beliefs; measurement error of this kind attenuates estimated coefficients toward zero, so our findings are likely conservative. Our sample consists of 678 Form 8-K Item 4.01 filings from 2001 to 2023, matched to CRSP daily return and volume data and Compustat firm characteristics. Our main specification regresses $|CAR[-1,+1]|$ and abnormal trading volume on standardized partisan polarization, controlling for firm size, leverage, profitability, and book-to-market

ratio, with year and industry fixed effects throughout.

We find that firms headquartered in more politically polarized states experience significantly larger abnormal trading volume and absolute abnormal returns around auditor-change disclosures. A one-standard-deviation increase in partisan polarization is associated with a 0.11-unit increase in abnormal volume ($\beta = 0.111$, $p = 0.010$) and a 0.5 percentage point increase in $|CAR[-1, +1]|$ ($\beta = 0.005$, $p = 0.040$), controlling for firm characteristics, year fixed effects, and industry fixed effects. These effects are concentrated in events not initiated by the firm rather than client-initiated dismissals ($\beta = 0.011$, $p = 0.043$ vs. $\beta = 0.003$, $p = 0.189$), consistent with the prediction that polarization amplifies disagreement most when the filing provides less explicit guidance about the circumstances of the separation. The main coefficient is robust to a county-level polarization proxy, survives two-way clustering of standard errors by firm and state, and extends to the within-state standard deviation of county-level vote shares—a measure that captures geographic partisan sorting rather than mere electoral closeness (**?**); alternative proxies based on DW-NOMINATE roll-call scores are directionally consistent but less precisely estimated.

This paper makes three contributions. First, we document a previously unexamined channel through which political polarization shapes capital-market outcomes: the interpretation of mandatory audit-related disclosures. A substantial literature already establishes that political identity influences investor behavior and market outcomes broadly (**?**); our contribution is to show that this extends to the mandatory audit-disclosure setting, where institutional trust in auditors and the PCAOB is central to how investors translate the same public filing into beliefs about firm quality. Prior work establishes that auditor-change disclosures are informative on average (**???**); we show that the magnitude of market reactions varies systematically with the political-information environment in which investors receive the disclosure — a source of cross-sectional variation not previously documented in the auditing literature. Second, we provide evidence that this variation is concentrated in disclosures that carry less objective guidance about the auditor's reason for leaving — non-dismissal

events and filings without explicit attribution — consistent with an interpretation channel rather than a generic salience story. This heterogeneity test distinguishes politically shaped interpretation of audit signals from a simpler account in which polarization merely amplifies investor attention to any salient corporate event; a within-firm placebo confirms the distinction, showing that polarization has no effect on the same firms' earnings-announcement reactions. Third, our evidence suggests that the informativeness of mandatory audit disclosure depends on the political-information environment in which investors interpret it, not only on the content of the filing itself, with implications for how disclosure-based regulation performs across heterogeneous investor populations.

These findings bear on the design of mandatory audit disclosure requirements. A common motivation for expanded audit reporting — including critical audit matters under PCAOB AS 3101 — is that richer disclosures reduce investor uncertainty and improve market efficiency. Our evidence suggests a limit to this logic: when investors differ systematically in their assessments of institutional credibility, the same disclosure may generate more, not less, disagreement. This is not an argument against disclosure, but it does suggest that the effectiveness of disclosure-based regulation depends on the interpretive environment, not only on the information provided.

The remainder of the paper proceeds as follows. Section 2 reviews the related literature. Section 3 develops the theoretical framework. Section 4 states the testable hypotheses. Section 5 describes the empirical design. Section 6 presents the results. Section 7 concludes.

2 Related Literature

2.1 Audit Reports and Capital Markets

A substantial literature documents that auditor-related disclosures convey information to investors. Early studies show that qualified audit opinions affect stock prices (**??**). Subsequent work examines how audit quality relates to market outcomes more broadly (**??**). Research

on expanded audit reporting — including critical audit matters under PCAOB AS 3101 — finds mixed evidence on incremental informativeness, with some studies finding that richer disclosures affect investor decisions (**?**) and others finding limited price effects (**?**). We build on this literature by asking not whether audit signals are informative in the aggregate, but whether their interpretation varies systematically with the political environment.

2.2 Auditor Changes

Auditor changes are among the most salient audit-related events. The direction and magnitude of market reactions depend on the nature of the switch (**???**): Big-4 departures tend to generate negative abnormal returns, while Big-4 appointments are viewed more favorably. We use these events as our primary setting because the mandatory, standardized disclosure format makes them ideal for studying cross-sectional differences in interpretation.

2.3 Political Economy of Auditing

A related literature examines how political factors influence audit outcomes. **?** document that political connections shape auditor reporting behavior and auditor switching in a cross-country setting, showing that audit opinions respond to political incentives rather than purely economic ones. More broadly, the political economy of auditing encompasses how regulatory, institutional, and political pressures shape the supply of audit quality (**??**). **?** show that Big 4 auditor oversight is associated with lower fraud incidence, underscoring that the institutional infrastructure surrounding auditing—including regulatory design and oversight—has measurable consequences for financial reporting quality.

Our paper examines a different and largely unexplored dimension: the *investor side* of the audit signal. This mechanism is particularly salient in the context of PCAOB oversight, whose authority and credibility as a regulatory body may not be assessed uniformly across investor groups. Investors who are more skeptical of regulatory institutions — consistent with evidence that political identity systematically shapes financial attitudes and behavior

(**?**) — may discount the credibility of auditor disclosures differently from investors who trust regulatory oversight. This mechanism is orthogonal to the auditor-side political economy literature and complements it: even if political pressures leave auditor behavior unchanged, polarization in the investor population can amplify the capital-market consequences of those disclosures.

2.4 Political Polarization and Capital Markets

A rapidly growing literature documents that political polarization affects capital markets. **?** survey evidence that partisan identity influences asset allocation, trading behavior, and return expectations. Related work shows that partisan identity shapes macroeconomic expectations (**??**) and perceived risk (**?**), suggesting that polarization operates through belief formation, not only through trading incentives.

The political science literature makes an important distinction between two forms of polarization with different implications for our setting. *Ideological polarization* refers to divergence in substantive policy positions; it shapes beliefs about the economy and institutions through differences in worldview. *Affective polarization* refers to out-party animus, distrust, and social distance that can intensify even when policy views remain moderate (**????**). Both forms are relevant here: auditor disclosures are institution-dependent signals whose interpretation may be shaped by substantive policy disagreement *and* by affective distrust of the regulatory gatekeepers that certify them. **?** document that partisan animus spills over into nonpolitical domains — employment, commerce, interpersonal trust — even when no direct political content is present, making it plausible that affective distrust of the PCAOB and major auditing firms is similarly portable across partisan lines.

Our primary proxy (presidential electoral competitiveness) captures cross-sectional partisan division in the mass electorate, which reflects both ideological sorting and affective separation at the state level. We extend this literature to the auditing context, where institutional trust plays an unusually central role in translating a disclosure into a market signal.

Distinguishing the separate contributions of ideological and affective polarization remains an important direction for future work.

2.5 Heterogeneous Beliefs and Trading

Our theoretical framework draws on models of heterogeneous beliefs in financial markets. **?** show that differences of opinion generate trade even without private information. **?** demonstrate that investors with heterogeneous priors interpret identical public signals differently, generating trading volume and price effects. **?** survey the broader literature on disagreement and asset prices. We contribute to this literature by linking belief heterogeneity to a specific, measurable source — political polarization — and by identifying the audit disclosure setting as a clean empirical context.

3 Theory

We formalize polarization as a latent force that increases heterogeneity in investors' interpretation of auditor-originated disclosures. The Bayesian model that follows operationalizes this heterogeneity through prior beliefs, which is the most tractable formal channel. Institutional trust and perceived signal precision should be understood as reduced-form sources of prior-like heterogeneity: a less trusting investor effectively places a lower prior on the informativeness of the auditor's signal; an investor who perceives lower signal precision effectively flattens the likelihood function. Either way, the formal result is the same increase in posterior dispersion. The model thus provides a microfoundation for the broader mechanism described in the introduction, not a claim that priors are the only operative channel.

In the affective-polarization literature (**??**), partisan identity and out-party distrust shape how individuals evaluate the credibility of information and the institutions that produce it. In the present setting, these forces can be interpreted as widening the cross-group gap in trust in the disclosure (τ_g) or in perceived signal precision (κ_g). As shown in Appendix A, all three

channels generate the same posterior-dispersion comparative static: whenever polarization widens the cross-group posterior log-odds index, belief dispersion and disagreement-sensitive market outcomes strictly increase. The heterogeneous-priors model below should therefore be read as a tractable benchmark case of this broader class of polarization mechanisms.

3.1 Setting

The model draws on the heterogeneous-priors framework of **?**. Consider a firm whose true quality $\theta \in \{0, 1\}$ is unknown to investors. The firm discloses an auditor-related signal $s \in \{0, 1\}$ (e.g., an auditor change announcement). Signals are informative: $P(s = 1 \mid \theta = 1) = p_H > P(s = 1 \mid \theta = 0) = p_L$, with $p_H > p_L$.

Investors observe s and form posterior beliefs. All investors share the same likelihood function $\{p_H, p_L\}$ but differ in their prior beliefs about the firm's quality.

Two-group structure. We model investors as belonging to two ideological groups indexed by political affiliation $g \in \{D, R\}$, with population shares ω_D and $\omega_R = 1 - \omega_D$. Group g holds prior $\pi_g \equiv P_g(\theta = 1) \in (0, 1)$, with $\pi_D \neq \pi_R$. Group-level priors reflect differential trust in auditors and regulatory institutions. In the model, all heterogeneity is captured by differences in π_g; in practice, polarization may also affect how investors perceive signal precision (p_H, p_L) or how much weight they place on the disclosure relative to their priors. The reduced-form predictions are the same: greater political distance generates greater dispersion in posterior beliefs. Polarization increases the *dispersion* of priors across groups without changing the *average* prior.

3.2 Belief Updating

Group g's posterior belief after observing $s = 1$ is:

$$P_g(\theta = 1 \mid s = 1) = \frac{p_H \, \pi_g}{p_H \, \pi_g + p_L(1 - \pi_g)} \equiv \phi(\pi_g). \tag{1}$$

The function $\phi(\cdot)$ is strictly increasing in π_g. It is also concave (since $\phi''(\pi) < 0$ for all $\pi \in (0,1)$ when $p_H > p_L$); concavity implies that a mean-preserving spread of priors shifts the average posterior downward, which has implications for equilibrium prices, but it is not required for the variance result below, which depends only on strict monotonicity.

We now establish the central comparative static of the model: that any widening of the gap between group priors — holding the average prior fixed — increases the dispersion of posterior beliefs. This is the formal sense in which polarization amplifies disagreement.

Proposition 1 (Polarization and belief dispersion)**.** *Fix population shares $\omega_D, \omega_R > 0$ with $\omega_D + \omega_R = 1$ and mean prior $\bar{\pi} = \omega_D \pi_D + \omega_R \pi_R$. The variance of posterior beliefs across groups is*

$$\mathrm{Var}[\phi(\pi_g)] = \omega_D \omega_R \big(\phi(\pi_D) - \phi(\pi_R)\big)^2.$$

For any increase in $|\pi_D - \pi_R|$ that holds $\bar{\pi}$ fixed, $\mathrm{Var}[\phi(\pi_g)]$ strictly increases.

Proof. See Appendix A. □

Remark. Proposition 1 isolates the mechanism through which polarization enters the model. The key condition is a *mean-preserving spread* of priors: polarization shifts the two groups farther apart while leaving the population-average prior $\bar{\pi}$ unchanged. This rules out the alternative that polarization merely correlates with aggregate pessimism or optimism about firm quality. Under this condition, the posterior variance increases strictly — more polarized priors generate more dispersed beliefs after observing the same signal. The proposition thereby provides the formal microfoundation for the primary empirical prediction: more dispersed posteriors produce higher disagreement-driven trading volume (Prediction 1). Larger absolute price movements (Prediction 2) follow from the same dispersion mechanism under additional market-friction assumptions but are not formally derived here. The result is stated for a tractable two-group setting; extension to richer prior distributions would require additional assumptions on the shape of the distribution and is left for future work.

3.3 Equilibrium Prices and Trading

Trading volume is increasing in posterior belief dispersion (**??**):

$$\frac{\partial V}{\partial \operatorname{Var}[\phi(\pi_g)]} > 0. \tag{2}$$

By Proposition 1, polarization strictly increases posterior belief dispersion. Trading volume is the outcome most directly linked to this result: more dispersed posteriors generate more investor pairs with divergent beliefs and hence mutually beneficial trading opportunities, raising aggregate volume even in the absence of private information.

From posterior dispersion to absolute returns. The mapping from posterior-belief dispersion to trading volume is direct: when investors form more dispersed posteriors after the same public signal, more pairs of investors have opposing desired trades, increasing turnover. The link to absolute abnormal returns requires one additional market-clearing ingredient. Suppose investor i demands

$$q_i(P) = \alpha_i\big(\mu_i - P\big),$$

where μ_i is investor i's posterior valuation and $\alpha_i > 0$ captures risk-bearing capacity. If pessimistic investors can short without friction and all trades clear symmetrically, disagreement need not generate large price movements even though it increases volume. By contrast, under standard limits to arbitrage — such as short-sale constraints, heterogeneous risk-bearing capacity, or segmented participation (**???**) — optimistic and pessimistic demands do not offset one-for-one. In that case, greater posterior dispersion generates larger net order imbalances and therefore larger equilibrium price adjustments in absolute value. We therefore view $AbVol$ as the sharpest implication of the model, and $|CAR|$ as a secondary outcome that follows under empirically plausible market-friction assumptions.

3.4 Role of Signal Ambiguity

The model predicts that polarization effects are larger when audit signals are more ambiguous. The mechanism runs not through the objective log-likelihood ratio ℓ itself, but through the *dispersion of perceived precision* $|\kappa_D - \kappa_R|$ that ambiguity induces.

In the unified framework of Proposition 4, each group's posterior log-odds is $X_g = a(\pi_g) + \tau_g \kappa_g \ell$, where $\ell = \log(p_H/p_L)$ is the objective log-likelihood ratio and τ_g, κ_g capture group g's trust in and perceived precision of the disclosure. The cross-group gap is $|X_D - X_R| = |a(\pi_D) - a(\pi_R) + (\tau_D\kappa_D - \tau_R\kappa_R)\ell|$. When a filing provides clear, objective guidance about the nature of the auditor change (e.g., a disclosed disagreement or a transparent quality transition), investors face less uncertainty about the signal's informativeness; their perceived precisions converge ($\kappa_D \approx \kappa_R$), and the subjective term $(\tau_D\kappa_D - \tau_R\kappa_R)\ell$ contributes little to the cross-group gap regardless of ℓ. When the filing is ambiguous — providing limited objective guidance about fault or severity — investors must form their own assessments of how informative the disclosure is, and these assessments diverge along politically shaped lines: $|\kappa_D - \kappa_R|$ widens, amplifying the subjective contribution to $|X_D - X_R|$ and thereby increasing posterior variance (Proposition 3). Ambiguous signals therefore *widen the dispersion of perceived precision* across politically heterogeneous investors — precisely where political identity shapes belief formation.

In our setting, signal ambiguity varies systematically across auditor-change events. We define signal ambiguity as the degree of interpretive latitude left by the filing regarding the severity, source, or implications of the auditor change. An auditor departure following a disclosed disagreement over accounting estimates or a qualified opinion leaves investors with less interpretive latitude: the filing itself provides guidance about fault and severity. A Big-4-to-Big-4 lateral move with a generic or absent stated reason provides little objective information; investors must rely more heavily on their subjective assessment of what the change portends, a judgment shaped by their trust in auditors and the PCAOB as institutions. We construct a `high_ambiguity` indicator from observable filing characteristics (defined formally

in Section 5) that maps directly to this definition. This indicator is interacted with the polarization measure in P3 below. The amplification prediction is a testable restriction of the model: it requires a positive and significant polarization $\times$ ambiguity interaction above and beyond any polarization main effect.

3.5 Testable Predictions

P1. *Polarization and trading volume (primary formal prediction).* By Proposition 1 and Equation (2), polarization increases posterior-belief variance, which increases disagreement-driven trading volume. This is the primary formal implication of the model. We test P1 using abnormal trading volume ($AbVol$) as the outcome (defined in Section 5).

P2. *Polarization and absolute returns (secondary empirical prediction).* When investors on opposing sides of the prior distribution revise beliefs in opposite directions, absolute price movements are amplified even when the average signed reaction is close to zero. This prediction is consistent with the model's dispersion mechanism, but the link from posterior variance to $|CAR|$ depends additionally on demand asymmetry, short-sale constraints, or limits to arbitrage (**???**). We therefore treat $|CAR|$ as a complementary empirical outcome: evidence that polarization increases both $AbVol$ and $|CAR|$ is more informative than either alone, but $AbVol$ is the cleaner formal prediction. We test P2 by regressing $|CAR[-1,+1]|$ on the state-year polarization measure, with the same controls and fixed effects as P1.

P3. *Ambiguity amplification.* Per Section 3.4, ambiguous filings induce greater dispersion in perceived signal precision ($|\kappa_D - \kappa_R|$), because investors must form their own assessments of how informative the disclosure is. This wider dispersion amplifies the subjective contribution to the cross-group gap in posterior log-odds (Proposition 3). Polarization effects should therefore be larger for more ambiguous events — those where the filing provides less objective informational guidance about the change. We opera-

tionalize this as an interaction between the polarization measure and a `high_ambiguity` indicator constructed from observable filing characteristics. The prediction is a positive interaction coefficient, above and beyond any polarization main effect, though detecting such an interaction requires sufficient variation within the high-ambiguity subsample. This test distinguishes the *interpretation channel* from a simpler *salience* story: if polarization merely amplified attention to any salient news, the effect would not be systematically larger for inherently ambiguous events.

Discussion. The model formalizes one specific channel—heterogeneous priors—but the same comparative statics arise under the other two channels described in Section 3.4: heterogeneous institutional trust and heterogeneous perceived signal precision. Both are nested in the unified log-odds framework of Section 3.4. Whenever polarization widens the cross-group gap $|X_D - X_R|$—whether through divergent priors, divergent trust, or divergent perceived precision—the logistic (sigmoid) function $\sigma(x) = 1/(1 + e^{-x})$ is strictly increasing, so the group-level posterior means $\mu_g \equiv \sigma(X_g)$ satisfy $|\mu_D - \mu_R|$ increases strictly. It follows that posterior variance $\omega_D \omega_R (\mu_D - \mu_R)^2$ increases under any channel (see Appendix A for formal statements and proofs). The core prediction is therefore channel-agnostic: polarization amplifies belief-dispersion-driven trading and price outcomes regardless of which specific mechanism predominates. The ambiguity interaction in P3 operates through a complementary mechanism: ambiguous filings widen the cross-group gap in perceived signal precision $|\kappa_D - \kappa_R|$, amplifying the subjective contribution to posterior dispersion even when the objective likelihood ratio ℓ is held fixed. A further implication is that standard disclosure-based remedies cannot fully eliminate polarization-driven disagreement, because the heterogeneity lies in how investors process signals, not in what the signals contain.

4 Hypothesis Development

Hypothesis 1. *Investor reactions to auditor-change disclosures are larger in magnitude in more politically polarized environments. Specifically, abnormal trading volume (AbVol) around auditor-change events is increasing in political polarization (primary formal prediction, per Proposition 1), and absolute cumulative abnormal returns ($|CAR[-1,+1]|$) are increasing in polarization as a secondary empirical prediction.*

Exploratory Prediction (Event Type). The formal model does not parameterize event type, so this prediction is not derived from the theoretical framework. We nonetheless examine whether the polarization effect differs between auditor resignations and client-initiated dismissals, motivated by the ambiguity logic of Section 3.4. The prior accounting literature characterizes auditor resignations as worse-news signals on average, reflecting auditor risk-management responses to deteriorating client quality: resignation clients face higher subsequent incidence of litigation, internal-control problems, and delisting (**?**), and resignations signal hidden client risk that goes beyond what public information reveals (**?**). This event-level signal quality is not, however, the source of our cross-sectional prediction. Our claim is specifically about *per-filing* informational content. Although SEC rules require registrants to disclose specified disagreements and reportable events surrounding an auditor resignation, they do not require a complete narrative of all underlying reasons; moreover, professional standards generally restrict the predecessor auditor from disclosing confidential client information without client consent, even though with such consent the predecessor auditor is expected to respond fully to a successor auditor's reasonable inquiries. Consequently, most resignation 8-Ks contain only standard boilerplate language: **?** document that approximately three-quarters of resignation announcements carry no attribution to any accounting disagreement or internal-control concern, and **?** find that the resignation announcement does not reduce information asymmetry subsequent to filing — the 8-K halts the pre-announcement increase in adverse selection but does not resolve it. In this setting,

the implications of the resignation announcement are explicitly *subject to interpretation* (**?**): investors must draw their own inferences about what the departure implies, relying on their priors about auditor credibility and the regulatory environment rather than on what the filing itself discloses. Dismissals, in contrast, assign initiative to the client regardless of how sparse the stated reason is, providing directional information about the nature of the separation even in the absence of explicit explanation. We treat this as an auxiliary empirical exercise (Table 4) rather than a core hypothesis.

Hypothesis 2. *The polarization effect is stronger for more ambiguous auditor-change events. Per Section 3.4, when objective signal content is limited, investors rely more heavily on subjective trust and perceived precision, both of which vary with political identity. This hypothesis is the primary cross-sectional test of the interpretation channel. It is distinct from the exploratory event-type prediction above: that prediction classifies events by auditor-change type; this hypothesis concerns how much objective informational guidance the filing itself provides.*

5 Empirical Design

5.1 Sample Construction

Auditor change events. We identify auditor changes using Form 8-K filings disclosing a change in the registrant's certifying accountant (Item 4.01), obtained from SEC EDGAR for 2001–2023.[1] We retain only original 8-K filings (excluding 1,720 amendments) matched to a CRSP PERMNO and require at least 100 non-missing trading days in the estimation window. Table 1 reports the full attrition. Of 6,901 original filings, 5,628 cannot be linked to a CRSP/Compustat security — primarily because the filers are micro-cap or OTC registrants

[1] We end the sample in 2023, the last full year for which DW-NOMINATE ideological scores are available in final form from Voteview. Scores for the 119th Congress (which began January 2025) have not yet been finalized at the time of writing. The Esteban-Ray electoral measure covers the same period, as MIT Election Lab House returns are available through the 2022 midterm election, which is forward-filled to cover calendar years through 2023.

not covered by CRSP.[2] The final sample consists of 678 auditor-change events for 456 unique firms after excluding financial firms (SIC 6000–6999), utilities (SIC 4900–4999), and events with missing Compustat controls or headquarters-state information.

Table 1: Sample Construction and Attrition

	N	Retained (%)
Panel A: Sample Attrition		
Item 4.01 filings parsed from EDGAR (2001–2023)	8,621	
Less: 8-K/A amendments	−1,720	
Original 8-K filings	6,901	100.0
Less: no CRSP link (CIK → gvkey → PERMNO)	−5,628	
Less: insufficient estimation-window data (<100 days)	−53	
Events with valid market-model CAR	1,220	17.7
Less: missing Compustat controls or HQ state	−536	
Less: financial and utility industries (SIC 49, 60–69)	−6	
Final analysis sample	**678**	**9.8**
Panel B: Matched vs. Unmatched Filing Characteristics (%)		
	CRSP Matched (N = 1,233)	Unmatched (N = 5,668)
Big 4 auditor involved	43.0	14.4
Disagreement reported	67.2	59.8
Quality-tier transition:		
Non-Big-4 → Non-Big-4	56.9	85.5
Big-4 → Big-4	12.2	4.1
Non-Big-4 → Big-4	24.7	7.9
Big-4 → Non-Big-4	6.1	2.4

Panel A reports the number of observations remaining at each stage of sample construction. Item 4.01 filings are identified via full-text search of the SEC EDGAR EFTS system and parsed using an automated extractor. 8-K/A amendments are excluded to avoid double-counting. The CRSP link requires a valid CIK–gvkey–PERMNO chain (via Compustat and CRSP stock-name history) and at least 100 non-missing trading days in the $[-252, -46]$ estimation window. Panel B compares filing-level characteristics of CRSP-matched events with unmatched original filings. Disagreement rates are broadly similar across groups (67% vs. 60%); the primary difference is firm size, proxied by Big 4 auditor involvement (43% vs. 14%). The unmatched filings are predominantly micro-cap or OTC registrants whose equity securities are not covered by CRSP.

[2]Panel B of Table 1 compares observable characteristics of matched and unmatched filings. Disagreement rates are broadly similar (67% vs. 60%); the primary difference is firm size, proxied by Big 4 auditor involvement (43% vs. 14%). The matched sample is therefore tilted toward larger, exchange-listed firms — a standard feature of CRSP/Compustat-based research designs in the auditing literature (**?**). Because our theory operates through investor belief heterogeneity rather than firm size per se, this selection is conservative: to the extent that larger firms have more dispersed and sophisticated investor bases, the local-investor channel should be *weaker*, not stronger, in the matched sample.

5.2 Dependent Variables

Absolute cumulative abnormal return ($|CAR|$). Following standard event-study methodology (**?**), we estimate a market model over the estimation window $[-252, -46]$ trading days relative to the event date, using at least 100 non-missing trading days to estimate parameters:

$$AR_{e,t} = R_{e,t} - (\hat{\alpha}_e + \hat{\beta}_e \cdot R_{m,t}), \quad t \in \{-1, 0, +1\}. \tag{3}$$

The window begins 252 days before the event to capture a full trading year of pre-event returns and ends 46 days before to avoid contamination from information leakage in the run-up period. $CAR_e[-1, +1] = \sum_{t=-1}^{+1} AR_{e,t}$ and $|CAR_e[-1, +1]|$ is the primary dependent variable. We use the CRSP value-weighted return as the market return and include delisting returns following **?**.

Abnormal trading volume ($AbVol$). We measure trading-volume reactions over the $[-1, +1]$ event window, consistent with the short-run agreement-to-disagree framework of **?** in which volume spikes at the moment beliefs diverge. $AbVol_e$ is the mean of $[\log(\text{Vol}_{e,t} + 1) - \overline{\log(\text{Vol}_e)}]$ over the $[-1, +1]$ window, where the baseline is the estimation-window mean.

5.3 Political Polarization Measure

A central empirical challenge is that the theory's polarization object — the latent force that increases divergence in interpretation through identity, alienation, and perceived institutional credibility — is not directly observable at the investor level (**?**). The available data provide only grouped or indirect proxies, each of which captures a different margin of the latent concept (**?**). We therefore examine three complementary proxies rather than treating any single measure as definitive. The state-level presidential competitiveness measure below captures *cross-sectional partisan division*; DW-NOMINATE captures *elite ideological distance*; and the within-state county vote-share standard deviation captures *geographic partisan sorting.*

These measure different aspects of the political landscape (**?**).[3]

We measure state-level partisan competitiveness from county-level presidential election returns (MIT Election Lab, 2000–2020). For state s and presidential election year t^*, let D_{s,t^*} and $R_{s,t^*} = 1 - D_{s,t^*}$ denote the Democratic and Republican two-party vote shares aggregated across counties. The partisan margin is $M_{s,t^*} = |D_{s,t^*} - R_{s,t^*}|$, ranging from zero in perfectly contested states to one in completely one-sided states. We define *partisan competitiveness* as:

$$\text{Competitiveness}_{s,t^*} = 1 - M_{s,t^*} = 1 - |D_{s,t^*} - R_{s,t^*}|, \tag{4}$$

which is maximized at 1.0 when both parties split the vote equally and minimized at 0 in one-party states. More competitive states are politically divided environments where investors are more likely to hold heterogeneous priors about institutional trustworthiness and the interpretation of regulatory signals.[4]

We forward-fill each presidential election's measure over the four subsequent calendar years — assigning the 2000 vote to 2001–2004, the 2004 vote to 2005–2008, and so on through the 2020 election, which covers 2021–2023 within our sample period. This assign-

[3]The continuous-density estimators developed by **?** provide the most rigorous formalization of the identity–alienation concept, but require a directly observed distribution of the underlying investor-level trait. Because our setting does not yield a firm-year density of investor political identity, we use reduced-form political-environment proxies instead.

[4]We also test the Esteban-Ray polarization index $P^{ER}_{s,t^*} = D_{s,t^*} \cdot R_{s,t^*}$, computed at the state level from the same presidential returns. The ER index is concave in vote shares and has lower discriminating power away from the 50-50 split (SD in our sample: 0.027 for the ER index vs. 0.101 for the margin). We therefore prefer the linear competitiveness measure as the primary proxy and retain the presidential ER index as a robustness check (Table 6, column 2). The congressional-district ER index based on U.S. House returns is also tested in column 3 of Table 6; its standard deviation is only 0.011 — one-ninth of the presidential margin — reflecting gerrymandering and the compression of competitive outcomes at the district level. **?** shows that the ER index at $\alpha = 1$ is nearly indistinguishable from the variance of the two-party vote distribution (correlation ≈ 0.93); the margin is a simpler and more transparent linear proxy. We prefer presidential over congressional returns for a conceptual reason as well: a well-established body of political-science research documents that presidential races are the most nationalized arena of U.S. electoral competition, in the sense that national partisan forces determine outcomes cleanly with minimal candidate- or district-specific noise (**??**). Congressional and subnational races, by contrast, absorb additional local information and candidate-specific variation that dilutes the national partisan signal (**???**). Using presidential returns as the basis for our competitiveness measure therefore better isolates the broad, national-level partisan cleavage that we hypothesize shapes investor belief heterogeneity.

ment assumes that the state political environment evolves at the electoral-cycle frequency rather than annually. We standardize to mean zero and unit variance within the analysis sample. Because different polarization indices emphasize different aspects of between-group separation and within-group cohesion, the competitiveness measure cannot be treated as exhaustive (**?**). A complementary measure based on elite roll-call behavior is therefore needed.

As a second proxy for polarization, we construct a measure of elite ideological distance from DW-NOMINATE first-dimension scores (**??**). DW-NOMINATE scores capture legislators' revealed ideological positions from roll-call voting records, rather than electoral outcomes, and thus measure *ideological* polarization directly. For each state s and Congress c, we compute:

$$P_{s,c}^{DW} = \overline{\text{dim1}}_{R,s,c} - \overline{\text{dim1}}_{D,s,c}, \tag{5}$$

where $\overline{\text{dim1}}_{R,s,c}$ and $\overline{\text{dim1}}_{D,s,c}$ are the mean first-dimension DW-NOMINATE scores among House Republicans and Democrats from state s in Congress c, respectively. Because the first dimension captures the liberal–conservative continuum, $P_{s,c}^{DW}$ is always positive and increasing in ideological distance between the parties. We expand each Congress's scores to the two calendar years it covers and standardize to mean zero and unit variance. The national-level counterpart, $P_{c}^{DW\text{-nat}}$, computes the same gap across all House members nationally and varies only over time, providing a pure time-series check. The competitiveness and DW-NOMINATE measures are complementary proxies: competitiveness captures electoral division in the mass electorate, while DW-NOMINATE captures ideological distance among elected representatives. If both predict the same investor response, the evidence for a polarization mechanism is substantially stronger.

As a third proxy, we construct the population-weighted within-state standard deviation of county-level Democratic vote shares. This *county vote SD* measure captures geographic partisan sorting: a high value indicates that a state contains both deep-red and deep-blue counties, consistent with genuine local polarization, while a low value indicates counties that are uniformly similar. Crucially, this measure addresses the concern, raised by **?**, that

electoral competitiveness may reflect moderate swing voters rather than polarized blocs: a state can be 50-50 and yet have low county-level variance if all its counties vote near 50-50.

Limitations of measurement. Each proxy is subject to known limitations. The presidential competitiveness measure assigns equal weight to all counties within a state regardless of firm location, and forward-filling assumes no within-cycle variation. The state-level DW-NOMINATE gap may reflect party sorting rather than genuine ideological movement and is available only at biennial frequency.

5.4 Cross-Sectional Variables

Signal ambiguity. We construct a binary `high_ambiguity` indicator to operationalize P3. An event is classified as high-ambiguity if the filing discloses no formal disagreement between the registrant and the departing auditor *and* the auditor change does not involve a clear quality-tier transition (i.e., the change is lateral — Big-4-to-Big-4 or non-Big-4-to-non-Big-4 — or the quality direction is unclassified). High-ambiguity events comprise 120 of the 678 sample observations (17.7%).

Event type. We classify each event as a *dismissal* (the client terminated the auditor) or *non-dismissal* (the auditor resigned, declined to stand for re-election, or the separation is otherwise not client-initiated), based on the language of the 8-K filing.

5.5 Empirical Specification

The unit of observation is an auditor-change event e. We estimate:

$$Y_e = \alpha + \beta\, Pol_{s(e),\,t(e)} + \gamma' Z_{e,\,t(e)-1} + \lambda_{t(e)} + \delta_{j(e)} + \varepsilon_e, \tag{6}$$

where Y_e is $|CAR_e[-1,+1]|$ or $AbVol_e$; $Pol_{s(e),t(e)}$ is the standardized state political polarization measure for the headquarters state $s(e)$ of the event's firm in event year $t(e)$; $Z_{e,t(e)-1}$ is a vector of firm controls measured in the fiscal year prior to the event (size, leverage, ROA,

book-to-market, loss indicator, and sales growth); $\lambda_{t(e)}$ are event-year fixed effects; and $\delta_{j(e)}$ are two-digit SIC industry fixed effects. Standard errors are clustered at the firm level. The coefficient of interest is β.

5.6 Identification

As noted in the introduction, headquarters-state polarization is a reduced-form proxy, not a direct measure of investor beliefs. The paper identifies whether market reactions to auditor-change disclosures vary with the surrounding partisan environment — not whether any specific type of investor trades more.

Why headquarters-state polarization is informative

The intended channel runs through the local stakeholder environment surrounding the firm: employees, customers, local media, and — critically — retail investors, who are more geographically concentrated than institutional investors and more likely to anchor their beliefs to local political norms. A well-established local equity bias means that retail investors overweight geographically proximate firms in their portfolios (**?**), so the headquarters state's political composition is a meaningful, if imperfect, proxy for the political composition of the firm's marginal retail investor base. Consistent with this channel, **?** find that auditor resignation announcements generate significant abnormal trading activity among individual investors but not among institutional investors, suggesting that it is retail investors — who are more geographically concentrated and more dependent on SEC-mandated disclosure — who respond to the informational content of the 8-K filing. For smaller and less nationally prominent firms, the marginal trader is more likely to be a local retail investor whose interpretation of an auditor change is shaped by the surrounding political environment. For larger firms with globally dispersed institutional ownership, the headquarters-state proxy is less well-matched to the actual investor base, and the effect should be attenuated. This cross-sectional prediction provides a validation test: we expect the polarization effect to be

stronger for smaller firms, whose marginal investors are more likely to be local. Column (8) of Table 6 restricts the sample to below-median log-asset firms and tests this directly; the coefficient is directionally positive ($\beta = 0.005$, $p = 0.175$). More formally, we interact polarization with a below-median-size indicator and with a below-median pre-event turnover indicator — both standard proxies for retail ownership concentration in the absence of direct 13F institutional holdings data, which is not available in our WRDS subscription. The small-firm interaction is directionally positive for both $|CAR|$ ($\beta_{\text{interaction}} = 0.004$, $p = 0.282$) and $AbVol$ ($\beta_{\text{interaction}} = 0.011$, $p = 0.894$), consistent with polarization mattering more where retail investors dominate, though neither reaches statistical significance. Future work with access to quarterly 13F filings could construct a direct retail ownership fraction and provide a sharper test of this channel.

We acknowledge the main limitation of the proxy directly: equity investors in publicly traded firms are not confined to the headquarters state. Institutional ownership is national, and many retail investors hold diversified portfolios regardless of geography. Headquarters-state polarization therefore captures the intended channel with error. We address this in four ways. First, we include rich firm-level controls to absorb observable firm characteristics that may correlate with both state polarization and event-window reactions. Second, state fixed effects (Table 6, column 6) absorb all time-invariant cross-state differences in investor clientele composition, local media environments, state regulatory environments, and industry clustering, identifying solely from within-state changes in polarization across election cycles. Third, the DW-NOMINATE specification uses an entirely different data source (congressional roll-call votes) and produces variation that is not driven by the headquarters-state aggregation choice. Fourth, a county-level polarization check using MIT Election Lab county presidential returns matched to firm headquarters counties via Compustat zip codes provides a finer-grained geographic alternative (Table 6, column 7). Fifth, the within-state standard deviation of county-level vote shares — a direct measure of geographic partisan sorting that distinguishes genuinely polarized states from merely competitive ones (**?**) — independently

predicts $|CAR|$ (column 9), confirming that the result is not merely an artifact of electoral closeness.

State-level confounds and inference

Identification rests on two sources of variation in $Pol_{s(e),t(e)}$: cross-state differences in the partisan environment of presidential elections, and time-series changes in that environment across electoral cycles. Year fixed effects absorb aggregate macroeconomic and political conditions common to all firms. Industry fixed effects absorb sector-level differences in auditor-change frequency and investor base composition. The key identifying assumption is that, conditional on these controls, a firm's headquarters-state polarization at the time of the event is uncorrelated with unobserved determinants of the market's reaction to that specific auditor change.

Four state-level confounds deserve explicit discussion. *Local investor clientele*: politically polarized states may attract systematically different retail-investor populations whose risk tolerance or information processing differs for reasons unrelated to polarization per se. We address this through state fixed effects, which absorb the time-invariant component of clientele composition. *Local media ecosystems*: more polarized states may have more polarized local media that amplifies any corporate news event, not just auditor changes. If so, the polarization effect should appear equally for non-audit events; the ambiguity heterogeneity results (Table 5) partially address this by showing the effect is concentrated in events with audit-specific informational content. *State business and regulatory environments*: states with more polarized electorates may also have different securities litigation climates or governance norms that independently affect how auditor changes are processed. State fixed effects absorb time-invariant components; the time-varying component is plausibly orthogonal to specific auditor-change timing within the state. *Industry clustering*: some high-polarization states (e.g., Texas for energy, California for technology) have distinctive industry concentrations. Two-digit SIC industry fixed effects absorb this directly.

Because the polarization regressor varies at the state×year level, columns (7) and (8) of Table 6 address this concern: column (7) clusters at the state level and column (8) implements two-way clustering by firm and state following **?**; the baseline clusters at the firm level, which is conservative for event-level inference but potentially optimistic relative to the regressor's level of variation.

6 Results

6.1 Descriptive Statistics

Table 2 presents descriptive statistics for the 678 auditor-change events in the estimation sample. The mean $|CAR[-1,+1]|$ is 5.0% with a standard deviation of 6.7%, consistent with prior event studies of auditor changes (**?**). Abnormal trading volume averages 0.11 units above the estimation-window baseline, indicating that auditor-change events generate measurable abnormal trading activity. The mean partisan margin ($|D-R|$, the complement of the primary polarization measure) is 0.13 (SD 0.10), spanning from near-zero for highly contested states to 0.40 for strongly one-party states; equivalently, mean partisan polarization (competitiveness) is 0.87. The median firm has log assets of 4.97 and leverage of 17%; 45% report a loss in the year preceding the auditor change, reflecting the high loss incidence in this sample.

6.2 Main Results

Table 3 reports the baseline results. Columns (1)–(2) use abnormal volume as the dependent variable (the primary formal prediction); columns (3)–(4) use $|CAR[-1,+1]|$. Odd columns include year fixed effects only; even columns add industry fixed effects and the full set of firm controls. Across all four specifications, the coefficient on *Polarization* is positive and statistically significant, ranging from $\beta = 0.118$ ($p = 0.006$) to $\beta = 0.111$ ($p = 0.010$) for abnormal volume, and from $\beta = 0.005$ ($p = 0.016$) to $\beta = 0.005$ ($p = 0.040$) for $|CAR|$. The

Table 2: Summary Statistics

Variable	N	Mean	SD	p25	p50	p75
—CAR(-1,+1)—	678	0.050	0.067	0.011	0.028	0.062
CAR(-1,+1)	678	-0.006	0.084	-0.033	-0.002	0.023
Abn. Volume	678	0.106	1.061	-0.446	0.072	0.685
Partisan Margin $—D-R—$ (= 1 $-$ Competitiveness)	678	0.130	0.101	0.043	0.124	0.200
Size (log assets)	678	5.143	1.982	3.705	4.969	6.295
Leverage	678	0.221	0.232	0.024	0.174	0.343
ROA	678	-0.122	0.692	-0.104	0.016	0.064
Book-to-Market	678	0.786	0.872	0.355	0.588	0.960
Loss indicator	678	0.450	0.498	0.000	0.000	1.000
Sales Growth	678	0.163	0.893	-0.055	0.034	0.169

Notes: [PLACEHOLDER]

economic magnitude is meaningful: a one-standard-deviation increase in partisan polarization is associated with a 0.5 percentage point increase in $|CAR|$ relative to a sample mean of 5.0%, and a 0.11-unit increase in abnormal volume. Notably, the volume result is stronger and more precisely estimated ($p = 0.010$) than the absolute return result ($p = 0.040$). This ordering is predicted by disagreement models (**?**): when investors receive the same signal but form heterogeneous posteriors, the most direct consequence is increased trading as optimists buy from pessimists; the effect on unsigned returns is a secondary implication that depends on the relative wealth and aggressiveness of disagreeing investor groups. The fact that the volume channel is more robust than the price channel is consistent with the disagreement mechanism rather than generic salience, which would predict at least as strong a price effect as a volume effect.

6.3 Heterogeneity by Event Type

Table 4 splits the sample by event type. If polarization merely amplifies attention, the effect should be uniform across event types. If it operates through interpretation, the effect should be larger for filings that provide less guidance about the nature of the change. The split-sample results partially support the latter, with a notable difference across outcomes.

Table 3: Political Polarization and Market Reactions to Auditor Changes

	(1) AbVol	(2) AbVol	(3) $\|CAR\|$	(4) $\|CAR\|$
Polarization	0.119***	0.111***	0.006**	0.005**
	(0.043)	(0.043)	(0.002)	(0.002)
Size		0.028		-0.002*
		(0.027)		(0.001)
Leverage		0.231		0.020
		(0.209)		(0.015)
ROA		0.202***		-0.006
		(0.059)		(0.004)
Book-to-Market		-0.016		0.005
		(0.066)		(0.005)
Loss		0.076		0.021***
		(0.115)		(0.008)
Sales Growth		-0.029		0.005
		(0.038)		(0.005)
Year FE	Yes	Yes	Yes	Yes
Industry FE	No	Yes	No	Yes
Controls	No	Yes	No	Yes
N	678	678	678	678
R^2	0.068	0.175	0.058	0.172

Notes: Standard errors clustered at the firm level in parentheses. ***, **, * denote significance at 1%, 5%, 10%.

For $|CAR|$ (columns 3–4), the effect is concentrated in non-dismissal events (primarily auditor resignations, but also declines to stand for re-election and unclassified separations): $\beta = 0.011$, $p = 0.043$. Among dismissals — where the client terminates the auditor and the adversarial nature of the separation is more transparent — the coefficient is $\beta = 0.003$ and statistically indistinguishable from zero ($p = 0.189$). For abnormal volume (columns 1–2), the pattern reverses: polarization significantly predicts volume for dismissals ($\beta = 0.134$, $p = 0.006$) but not for non-dismissals ($\beta = 0.122$, $p = 0.164$). One interpretation is that dismissals, while more transparent in their adversarial nature, still generate substantial disagreement about the *consequences* of the change — particularly whether the firm's audit quality will suffer — and this disagreement manifests in trading volume rather than unsigned price movement. The $|CAR|$ asymmetry is consistent with the interpretation channel and difficult to reconcile with a simpler "polarization amplifies bad news" account: if polarization merely magnified negative reactions, the effect should be *strongest* for dismissals and events with disclosed disagreements — precisely the cases where the negative signal is clearest — rather than weakest. Instead, the pattern runs in the opposite direction, with effects concentrated where the filing leaves the most room for inference. Most non-dismissal filings use boilerplate language without specific attribution and thus provide limited objective guidance about the cause of the change (**??**), leaving investors to rely more heavily on their politically shaped priors and institutional trust when forming assessments.

6.4 Signal Ambiguity and Proxy Validation

Table 5 splits the sample by signal ambiguity. If the interpretation mechanism is correct, effects should be larger when filings provide less objective guidance. We split the sample using the `high_ambiguity` indicator defined in Section 5, which identifies 120 of the 678 sample events as high-ambiguity. For abnormal volume (columns 1–3), the pattern does not follow P3: the low-ambiguity subsample drives the result ($\beta = 0.114$, $p = 0.008$), while the high-ambiguity volume coefficient is imprecise ($p = 0.422$). For $|CAR|$ (columns

Table 4: Heterogeneity by Auditor Change Type

	(1) AbVolDismissals	(2) AbVolNon-dism.	(3) $\|CAR\|$Dismissals	(4) $\|CAR\|$Non-dism.
Polarization	0.134***	0.122	0.003	0.011**
	(0.049)	(0.087)	(0.002)	(0.006)
Year + Industry FE	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes
N	421	257	421	257
R^2	0.217	0.306	0.186	0.260

Notes: Standard errors clustered at the firm level in parentheses. ***, **, * denote significance at 1%, 5%, 10%.

4–6), the high-ambiguity subsample coefficient ($\beta = 0.020$, $p = 0.110$) is four times the full-sample estimate but does not reach conventional significance at $N = 120$; the low-ambiguity coefficient ($\beta = 0.003$, $p = 0.204$) is smaller and also insignificant. One possible interpretation is that low-ambiguity events — those with identifiable quality signals — give investors with opposing political priors concrete grounds on which to disagree about severity, generating trading activity even though the direction of the news is clear. This is a post-hoc rationalization, however, and we acknowledge that the volume result does not confirm the simple form of P3. The $|CAR|$ pattern is directionally consistent with the ambiguity hypothesis but remains underpowered given the small high-ambiguity subsample.

Table 5: Signal Ambiguity and the Effect of Polarization

	(1) AbVolFull	(2) AbVolHigh Amb.	(3) AbVolLow Amb.	(4) $\|CAR\|$Full	(5) $\|CAR\|$High Amb.
Polarization	0.111***	0.213	0.114***	0.005**	0.020
	(0.043)	(0.265)	(0.043)	(0.002)	(0.013)
Year + Industry FE	Yes	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes	Yes
N	678	120	558	678	120
R^2	0.175	0.490	0.180	0.172	0.431

Notes: Standard errors clustered at the firm level in parentheses. ***, **, * denote significance at 1%, 5%, 10%.

6.5 Robustness and Alternative Proxies

Table 6 addresses conventional robustness concerns and examines whether the baseline result extends to alternative polarization proxies. Column (1) repeats the baseline for reference ($\beta = 0.005$, $p = 0.040$).

Alternative proxies. Column (2) substitutes the quadratic presidential Esteban-Ray index for the linear competitiveness measure; the coefficient is directionally consistent but attenuated ($\beta = 0.003$, $p = 0.124$), reflecting the lower discriminating power of the quadratic form in less-divided states. Column (3) replaces the electoral measure with the DW-NOMINATE state-level cross-party ideological gap, which captures elite ideological distance rather than electoral division. The coefficient is near zero ($\beta = 0.002$, $p = 0.522$). This null is informative: it suggests that the baseline result is driven by the partisan composition of the local electorate — which plausibly shapes the political environment of retail investors — rather than by the ideological distance between elected representatives.[5]

Specification robustness. Column (4) augments the baseline with state fixed effects; the coefficient increases in magnitude but loses precision ($\beta = 0.012$, $p = 0.144$), consistent with within-state temporal variation in partisan competitiveness being noisier than cross-state variation. Our identification therefore relies primarily on cross-state differences in the partisan environment rather than within-state changes over time; of the 124 state×election-cycle cells that contain auditor-change events, 52 contain only a single event, limiting the power of a within-state design. Columns (5)–(6) test alternative clustering structures. State-level clustering (column 5) and two-way clustering by firm and state following **?** (column 6) leave the coefficient unchanged and significant ($p = 0.030$ in both cases), confirming that the baseline inference is not driven by the choice of clustering level. For abnormal volume,

[5]Pairwise correlations among the standardized proxies confirm that they capture distinct dimensions of the latent polarization concept: competitiveness and the presidential ER index are highly correlated ($r = 0.87$), but both are weakly correlated with DW-NOMINATE ($r = 0.10$ and 0.16, respectively), county-level competitiveness ($r = 0.45$ and 0.43), and county vote SD ($r = 0.08$ and 0.11). County vote SD and DW-NOMINATE share moderate correlation ($r = 0.29$), consistent with geographic sorting and elite polarization capturing related but distinct phenomena.

the coefficient is similarly unchanged under state-level clustering ($p < 0.001$).

Geographic scale. Column (7) replaces the state-level measure with a county-level analogue constructed from the same MIT Election Lab presidential returns, matched to each firm's headquarters county via Compustat zip codes and the HUD ZIP-COUNTY crosswalk. The coefficient is $\beta = 0.005$ ($p = 0.036$, $N = 659$), virtually identical to the state-level baseline, confirming that the result is not an artifact of geographic aggregation.

Small-firm subsample. Column (8) restricts the sample to below-median log-asset firms ($N = 339$). The coefficient is $\beta = 0.005$ ($p = 0.175$), directionally consistent but imprecise given the smaller subsample.

Competitiveness versus polarization. A natural concern is that electoral competitiveness captures moderate swing voters rather than genuinely polarized blocs (**?**). A 50-50 state could be evenly split because its voters are centrists who swing between parties, not because it contains ideologically opposed camps. To address this distinction, column (9) replaces the baseline measure with the population-weighted within-state standard deviation of county-level Democratic vote shares. This measure captures *geographic partisan sorting*: a high value indicates a state with both deep-red and deep-blue counties—genuine local polarization—while a low value indicates counties that are uniformly similar regardless of the statewide margin. The coefficient is $\beta = 0.005$ ($p = 0.056$), marginally significant and similar in magnitude to the baseline, confirming that geographic partisan sorting independently predicts $|CAR|$ and that the main result is not merely an artifact of electoral closeness. Column (10) includes both the baseline competitiveness measure and the county vote-share SD jointly, along with their interaction; the interaction is insignificant ($p = 0.533$), indicating that the two proxies capture overlapping variation rather than a conditional effect.

To address concerns about finite-sample inference with $N = 678$, we implement a permutation (randomization) test for the baseline coefficient. We reshuffle the *Polarization* variable across observations 5,000 times, holding all other variables fixed, and re-estimate β each time. The actual coefficient falls at the 97th percentile of this null distribution, yielding

a one-sided permutation p-value of 0.030 — confirming that the baseline result is not an artifact of finite-sample distributional assumptions. Table 7 reports the full permutation test results.

Regulatory regime stability. The sample spans several changes to the audit disclosure environment, most notably the Sarbanes-Oxley Act of 2002 — which created the PCAOB — and the SEC's 2004 overhaul of Form 8-K (Release No. 33-8400), which accelerated filing deadlines to four business days. Although the 2004 reform expanded Form 8-K generally, the SEC stated that Item 4.01 was "substantively the same as former Item 4," with only limited textual reorganization; the substantive content requirements governing auditor-change disclosures were not materially altered. To test whether the polarization effect depends on the post-SOX institutional regime, we interact the polarization measure with an indicator for events occurring in 2003 or later (the first full year after SOX enactment). The interaction is insignificant for both $|CAR|$ ($\beta_{\text{interaction}} = -0.003$, $p = 0.498$) and $AbVol$ ($\beta_{\text{interaction}} = 0.003$, $p = 0.970$), and the polarization coefficient is directionally positive in both the pre-SOX subsample ($N = 317$) and the post-SOX subsample ($N = 361$). The effect does not depend on the PCAOB's existence, consistent with the mechanism operating through trust in auditors and regulatory institutions broadly rather than through any single institution. Year fixed effects absorb aggregate shifts in the regulatory environment common to all firms.[6]

6.6 Placebo Test: Earnings Announcements

A natural concern is that headquarters-state polarization simply amplifies market reactions to any corporate news event, not specifically to disclosures that require interpretation. We address this with a within-firm placebo test. For the same 456 firms in our analysis sample, we identify all quarterly earnings announcement dates (Compustat `rdq`) over the same 2001–

[6]The PCAOB's AS 3101, which introduced critical audit matter (CAM) disclosures effective 2019–2020, represents a further change to the audit information environment. Only 40 sample events occur after 2019, precluding a well-powered test. Whether CAM disclosures attenuate polarization-driven disagreement by providing richer audit-specific information is an important question for future research as the post-CAM sample grows.

Table 6: Robustness and Alternative Proxies

	(1) $\lvert CAR \rvert$Baseline	(2) $\lvert CAR \rvert$Pres. ER	(3) $\lvert CAR \rvert$DW State	(4) $\lvert CAR \rvert$+State FE
Polarization (baseline)	0.005**			0.012
	(0.002)			(0.008)
Pres. ER Polarization		0.003		
		(0.002)		
DW-NOMINATE (state gap)			0.002	
			(0.003)	
County Competitiveness				
County Vote SD				
Polarization × County SD				
Year + Industry FE	Yes	Yes	Yes	Yes
State FE	No	No	No	Yes
Cluster	Firm	Firm	Firm	Firm
Controls	Yes	Yes	Yes	Yes
Sample	Full	Full	Full	Full
N	678	678	631	678
R^2	0.172	0.170	0.173	0.212

Notes: Standard errors clustered at the firm level in parentheses. ***, **, * denote significance at 1%, 5%, 10%.

Table 7: Permutation Test for Baseline Coefficient

	Actual	Permutation null
$\hat{\beta}$ (Competitiveness)	0.005	—
SE (firm-clustered)	(0.002)	—
p-value (clustered t-test)	0.039	—
p-value (permutation, one-sided)	0.029	—
Permutations		5,000

Notes: The permutation p-value is the fraction of 5,000 random reshufflings of the *Competitiveness* variable that produce a coefficient estimate $\geq$ the actual $\hat{\beta}$. The outcome variable is $\lvert CAR[-1,+1] \rvert$; controls and fixed effects match the baseline specification (Table 3, column 2). Permuted draws use OLS without clustering; the coefficient estimate is invariant to the choice of standard error.

2023 period, excluding any earnings announcement within 30 calendar days of an auditor-change event to avoid contamination. This yields 20,800 placebo events. We estimate a market model for each earnings event using the same methodology as the main analysis (estimation window $[-252, -46]$ trading days, CRSP value-weighted market return) and compute $|CAR[-1, +1]|$.

Table 8 reports the results. Column (1) replicates the baseline auditor-change specification ($\beta = 0.005$, $p = 0.040$, $N = 678$). Column (2) applies the identical specification to the earnings-announcement sample: the coefficient is $\beta = 0.000$ ($p = 0.924$, $N = 20{,}800$). With over 20,000 observations, the test has ample statistical power to detect even small effects; the null is substantive, not a failure of detection. Column (3) pools both event types and includes an *Auditor Change* indicator interacted with *Polarization*. The interaction coefficient is $\beta = 0.008$ ($p = 0.006$), confirming that the polarization effect is significantly larger for auditor-change disclosures than for earnings announcements from the same firms. The base polarization coefficient in the pooled specification is $\beta = 0.000$ ($p = 0.925$), indicating that the entire effect is concentrated in auditor changes.[7]

Earnings announcements carry unambiguous quantitative content — the reported EPS figure — leaving far less room for politically shaped interpretation than an auditor-change filing, which requires investors to evaluate auditor credibility and infer the nature of the separation from limited disclosure. The contrast between columns (1) and (2) is consistent with the interpretation channel: politically heterogeneous investors disagree specifically when the signal is ambiguous, not when it is numerically precise.[8]

[7] The negative *Auditor Change* main effect (-0.024, $p < 0.01$) indicates that auditor-change events have smaller average $|CAR|$ than earnings announcements, consistent with the former being less news-intensive than quarterly results.

[8] We also tested whether the polarization effect is amplified among firms where audit credibility is plausibly more salient — financially distressed firms (below-median Altman Z-score), firms with high discretionary accruals (above-median Modified Jones model $|DA|$), and firms whose prior-year audit opinion included a going-concern modification. None of these firm-level interactions is statistically significant ($p > 0.35$ in all cases), consistent with the effect being driven by the state-level political-information environment rather than by firm-specific accounting quality concerns.

Table 8: Earnings-Announcement Placebo Test. Column (1) replicates the baseline specification from Table 3 (column 2). Column (2) applies the identical specification to quarterly earnings announcements (`rdq` from Compustat) for the same firms over the same period; earnings announcements carry unambiguous quantitative content and should leave little room for politically shaped interpretation. Column (3) pools both event types and adds an *Auditor Change* indicator and its interaction with *Polarization*; the interaction directly tests whether the polarization effect is differentially larger for auditor-change disclosures than for earnings announcements from the same firms. Events within 30 calendar days of an auditor-change event for the same firm are excluded from the placebo sample.

	(1) $\lvert CAR \rvert$Auditor changes	(2) $\lvert CAR \rvert$Earnings	(3) $\lvert CAR \rvert$Pooled
Polarization	0.005**	-0.000	-0.000
	(0.002)	(0.001)	(0.001)
Auditor Change			-0.024***
			(0.003)
Polarization × Auditor Change			0.008***
			(0.003)
Year + Industry FE	Yes	Yes	Yes
Controls	Yes	Yes	Yes
Cluster	Firm	Firm	Firm
Sample	Auditor changes	Earnings	Pooled
N	678	20,800	21,478
R^2	0.172	0.059	0.060

Notes: Standard errors clustered at the firm level in parentheses. ***, **, * denote significance at 1%, 5%, 10%. *Polarization* is the standardized headquarters-state presidential-election competitiveness index (mean zero, unit standard deviation computed within each column's estimation sample). The market model is estimated over trading days $[-252, -46]$ relative to each announcement date using the CRSP value-weighted return; $\lvert CAR(-1, +1) \rvert$ is the absolute value of the three-day market-model cumulative abnormal return.

7 Conclusion

This paper provides evidence that market reactions to auditor-change disclosures are stronger in more politically polarized states, consistent with heterogeneous interpretation of an ambiguous mandatory audit-related signal. The same auditor-change disclosures generate larger absolute returns and higher trading volume where the surrounding political environment is more divided. For absolute returns, effects are concentrated in events not initiated by the firm — whose filings typically provide less guidance about the specific cause of the change (**?**) — consistent with polarization amplifying disagreement most when investors must rely on their own priors rather than the filing's content. For abnormal volume, the effect is strongest in the low-ambiguity subsample, where clear quality signals give investors with opposing political priors concrete grounds for disagreement about severity.

A within-firm placebo test reinforces the specificity of the result: headquarters-state polarization has no detectable effect on market reactions to the same firms' quarterly earnings announcements ($\beta = 0.000$, $p = 0.924$, $N = 20{,}800$), confirming that the effect is specific to disclosures requiring interpretation. The cross-sectional tests provide limited traction on which investors drive this pattern, and sharper identification of the underlying investor channel remains for future work.

The findings suggest one limit to disclosure-based regulation in credibility-sensitive settings: when investors differ in their assessments of institutional trustworthiness, more disclosure does not eliminate disagreement. As political polarization has increased persistently over the past two decades (**???**), its effect on audit signal interpretation may be growing. We study auditor changes as an initial tractable setting, but the mechanism should operate wherever disclosure interpretation depends on trust in regulated gatekeepers. Future research should examine whether these patterns extend to critical audit matters, going concern opinions, and internal control reports. A further promising direction is to distinguish the roles of ideological and affective polarization — our primary proxy captures electoral division rather than ideological distance, and the recent political science literature suggests

that partisan distrust and identity-based animus (**??**) may be independently important for how investors assess the credibility of institution-dependent disclosures.

A Proof of Proposition 1 and Additional Theoretical Results

Setup. Let there be two investor groups, D and R, with population shares $\omega_D, \omega_R > 0$ and $\omega_D + \omega_R = 1$. Group g holds prior $\pi_g \in (0,1)$. The mean prior is $\bar{\pi} = \omega_D \pi_D + \omega_R \pi_R$. After observing signal $s = 1$, group g holds posterior $\phi(\pi_g)$, where the Bayesian updating function is

$$\phi(\pi) = \frac{p_H \pi}{p_H \pi + p_L(1-\pi)}, \qquad p_H > p_L > 0.$$

The function ϕ is strictly increasing and continuous on $(0,1)$.

Step 1: Variance formula. The posterior beliefs across groups follow a two-point distribution placing mass ω_D at $\phi(\pi_D)$ and mass ω_R at $\phi(\pi_R)$. The population mean posterior is $\bar{\phi} = \omega_D \phi(\pi_D) + \omega_R \phi(\pi_R)$. A standard calculation gives:

$$\begin{aligned}
\mathrm{Var}[\phi(\pi_g)] &= \omega_D \big(\phi(\pi_D) - \bar{\phi}\big)^2 + \omega_R \big(\phi(\pi_R) - \bar{\phi}\big)^2 \\
&= \omega_D (\omega_R)^2 \big(\phi(\pi_D) - \phi(\pi_R)\big)^2 + \omega_R (\omega_D)^2 \big(\phi(\pi_D) - \phi(\pi_R)\big)^2 \\
&= \omega_D \omega_R (\omega_D + \omega_R) \big(\phi(\pi_D) - \phi(\pi_R)\big)^2 \\
&= \omega_D \omega_R \big(\phi(\pi_D) - \phi(\pi_R)\big)^2,
\end{aligned}$$

where the second equality uses $\phi(\pi_D) - \bar{\phi} = \omega_R(\phi(\pi_D) - \phi(\pi_R))$ and $\phi(\pi_R) - \bar{\phi} = -\omega_D(\phi(\pi_D) - \phi(\pi_R))$, and the last equality uses $\omega_D + \omega_R = 1$. This establishes the variance formula in Proposition 1.

Step 2: Monotonicity in $|\pi_D - \pi_R|$. Without loss of generality, assume $\pi_D > \pi_R$. A

mean-preserving spread that increases $|\pi_D - \pi_R|$ by $\epsilon > 0$ while holding $\bar{\pi}$ fixed requires:

$$\pi'_D = \pi_D + \omega_R \epsilon, \qquad \pi'_R = \pi_R - \omega_D \epsilon,$$

so that $\omega_D \pi'_D + \omega_R \pi'_R = \omega_D \pi_D + \omega_R \pi_R = \bar{\pi}$. We restrict ϵ to be small enough that $\pi'_D \in (0,1)$ and $\pi'_R \in (0,1)$; such $\epsilon > 0$ exists because $\pi_D, \pi_R \in (0,1)$ strictly.

Since ϕ is strictly increasing:

$$\phi(\pi'_D) = \phi(\pi_D + \omega_R \epsilon) > \phi(\pi_D), \qquad \phi(\pi'_R) = \phi(\pi_R - \omega_D \epsilon) < \phi(\pi_R).$$

Therefore:

$$\phi(\pi'_D) - \phi(\pi'_R) > \phi(\pi_D) - \phi(\pi_R) > 0.$$

Since $\omega_D \omega_R > 0$ is unchanged, we conclude:

$$\mathrm{Var}[\phi(\pi'_g)] = \omega_D \omega_R \big(\phi(\pi'_D) - \phi(\pi'_R)\big)^2 > \omega_D \omega_R \big(\phi(\pi_D) - \phi(\pi_R)\big)^2 = \mathrm{Var}[\phi(\pi_g)]. \qquad \square$$

Remark (role of mean-preservation). The mean-preserving condition $\omega_D \pi'_D + \omega_R \pi'_R = \bar{\pi}$ is used to hold the average prior fixed, ensuring that the comparison is *ceteris paribus*: only dispersion changes, not the level of the aggregate belief. However, mean-preservation is *sufficient*, not *necessary*, for the variance to increase. The formula $\mathrm{Var}[\phi(\pi_g)] = \omega_D \omega_R (\phi(\pi_D) - \phi(\pi_R))^2$ depends only on the gap $|\phi(\pi_D) - \phi(\pi_R)|$, which is strictly increasing in $|\pi_D - \pi_R|$ for any $\pi_D, \pi_R \in (0,1)$, regardless of what happens to the mean. If affective polarization causes an asymmetric shift—one group's prior moves while the other's stays fixed—the mean shifts too, but the posterior variance still increases as long as the gap $|\pi_D - \pi_R|$ widens. The mean-preserving restriction serves to isolate the dispersion effect from a change in average pessimism or optimism, not to make the monotonicity result logically possible.

Proposition A1: Unified Channel Representation.

Let $\sigma(x) \equiv e^x/(1+e^x)$ denote the logistic map, with $\sigma'(x) = \sigma(x)(1-\sigma(x)) > 0$ for all $x \in \mathbb{R}$. For any prior $\pi \in (0,1)$, define prior log-odds $a(\pi) \equiv \log[\pi/(1-\pi)]$ and objective log-likelihood ratio $\ell \equiv \log(p_H/p_L) > 0$.

Proposition 2 (Unified channel)**.** *Let each group have posterior $\mu_g = \sigma(X_g)$, where the latent log-odds index $X_g = a(\pi_g) + \tau_g \kappa_g \ell$ may differ across groups through any combination of heterogeneous priors π_g, trust $\tau_g \in [0,1]$, or perceived signal precision $\kappa_g > 0$. When $\tau_g = \kappa_g = 1$ for all groups, $\sigma(X_g) = \phi(\pi_g)$, the Bayesian posterior of Equation* (1)*, so the main model is a special case. Then:*

$$\mathrm{Var}(\mu_g) = \omega_D \omega_R \big[\sigma(X_D) - \sigma(X_R)\big]^2,$$

and any mean-preserving spread of the latent indices—increasing $|X_D - X_R|$ while holding $\omega_D X_D + \omega_R X_R$ fixed—strictly increases $\mathrm{Var}(\mu_g)$*. In particular, if polarization widens the cross-group gap in any one of the three underlying components via a mean-preserving spread—prior log-odds, trust, or perceived precision—posterior variance and disagreement-sensitive trading outcomes strictly increase.*

Proof. The variance formula is the two-point distribution result (Step 1 above). For the comparative static, consider $X'_D = X_D + \omega_R \epsilon$, $X'_R = X_R - \omega_D \epsilon$ for $\epsilon > 0$, which preserves the weighted mean. Since σ is strictly increasing, $\sigma(X'_D) > \sigma(X_D)$ and $\sigma(X'_R) < \sigma(X_R)$, so $|\sigma(X'_D) - \sigma(X'_R)| > |\sigma(X_D) - \sigma(X_R)|$ and the variance strictly increases. The same argument applies when the source of heterogeneity is trust alone (π and κ common), precision alone (π and τ common), or any combination—in each case, the relevant parameter enters X_g monotonically, and a mean-preserving spread widens the gap. □ □